

quarterly estimated tax payments or increase the amount of your withholding at work to compensate.

You can avoid incurring tax penalties for underpaying taxes by estimating your tax liability before the end of the year to allow time to catch up if you've underwithheld. If your tax status has changed during the year, do a projection of your taxes using your new status as soon as possible after the change takes place. To avoid penalties, you must pay at least 90 percent of your tax for the current year before December 31, or at least as much as your total tax liability for the prior year.



Tax Freedom Day illustrates how much of the average American's budget goes toward paying for government services. It's the day by which you will have worked enough to pay your tax obligations for the year, starting from January 1. According to the Tax Foundation, in 2011 Tax Freedom Day was April 12 for the average American. Of course, depending on where you live and what your state's average income is, your tax freedom day may be much earlier or later than this national average.

---

If it looks as if you may not have had enough tax withheld, change your withholding by filing a new W-4 with your employer to have additional tax taken out each pay period through the end of the year. After the start of the new year, complete another W-4 to adjust your withholding back to a more normal amount. The withholding calculator on the IRS website will help you determine what your withholding should be and is more accurate than the worksheets used on the W-4 form.